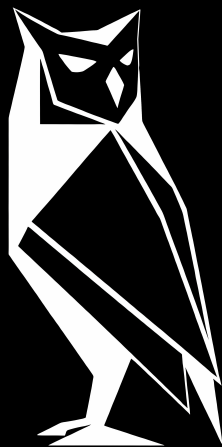




ZNAS LLC

Confidential Document



Value Estimate & Methodology

Fylo Warehouse OS

ZNAS × Fylo

Prepared for Carlos Valenzuela · July 2026

Prepared by ZNAS for Fylo (Carlos Valenzuela)

ZNAS LLC | Arizona, USA | Confidential

What this is

Fylo Warehouse OS is a custom operating system for your fulfillment business — built to measure for Fylo, owned by you. This document estimates the fair market value of that software as an asset in your company, using three independent, industry-standard methods and current-year (2026) market data. Every figure traces to a cited source in the methodology section at the end.

The result is a well-supported estimate for our conversation — not a formal appraisal. We'd encourage your own advisor to review it, and the final figure will firm up once v1 scope is locked together.

The estimate

Across all three methods, the value of the Fylo Warehouse OS application converges on:

\$150k – \$300k

Estimated asset value

4 systems in 1

Manager · Station · Worker · Support

You own it

Proprietary IP, no SaaS rent

What you're gaining

This isn't a subscription you rent — it's intellectual property you own. Four purpose-built views on one platform (your mobile manager dashboard, the station floor displays, the packer tablets, and a unified customer-support desk), every sales channel — Shopify, Amazon, your in-office Farmville retail, and wholesale — flowing into one place, an AI layer throughout, and a Clinical Knowledge Assistant that puts Dr. Valenzuela's expertise into customer support: something no generic brand can offer. It's yours, on your balance sheet, with no recurring license fees to us for the software itself.

How we arrived at the value — three lenses

1

What it would cost to build elsewhere

The most direct measure: what another quality software vendor would charge to build this same system from scratch. Industry data for 2026 puts custom software of this complexity at \$150,000–\$400,000, and a custom warehouse system of average complexity at \$200,000–\$400,000. The published average software project runs about \$132,000 over roughly 13 months. Built block by block — four device interfaces, the channel integrations, the backend, the AI, and the hardware layer — Fylo Warehouse OS sits squarely in this range. A like-for-like rebuild would cost roughly \$200,000–\$350,000.

2

What the equivalent capability costs to rent

The other way to get these features is to stitch together several off-the-shelf subscriptions. At 2026 pricing, a comparable stack — inventory/warehouse software, an order-management system, a multichannel help desk, AI support tools, and analytics — runs about \$2,000 a month, or ~\$24,000 every year, indefinitely. Owning the capability instead of renting it is worth a multiple of that annual cost — and even then, two of Fylo's best features (the team bonus/leaderboard engine and the Clinical Knowledge Assistant) simply aren't available to buy at any price.

3 What owning software does for Fylo's value

Owning proprietary software changes what kind of company Fylo is. Consumer brands are typically valued around 4–6× earnings (a bit higher for hybrid brands selling across DTC, Amazon, and retail — which is exactly Fylo). Software and technology assets are valued on a richer basis — often 3–5× revenue — and in technology companies, intangible assets like proprietary software make up 60–80% of total enterprise value. In plain terms: the same operation, now running on software you own — with a clinical differentiator unique to you — is worth more than one that doesn't. And you're getting there far faster than the ~13-month market norm.

Where they converge

The rebuild cost, the value of owning rather than renting, and the enterprise value the software adds all point to the same place: **\$150,000–\$300,000** for the Fylo Warehouse OS application. We're happy to be flexible on structure — a fixed price paid in stages, a monthly arrangement, or a partnership model — so it fits how Fylo wants to grow.

What's included

This estimate covers the Fylo Warehouse OS application you'll own — the four views, the channel integrations, returns, inventory, the bonus/leaderboard engine, and the AI features. The underlying engine it runs on (MemQL) is our own open-source technology, provided to you at no license cost — you get the benefit without paying for the plumbing. Final value depends on the v1 feature set we confirm together; the long-term roadmap modules (demand forecasting, purchase-order management, batch tracking, and more) are designed for from day one and added as Fylo grows.

Owning it vs. running it

This document values the software asset — what the platform is worth as intellectual property you own. That's separate from the modest, at-cost expense of operating it, which is detailed in the accompanying Engagement Proposal. In short: the platform runs on standard cloud hosting plus live AI usage — passed through to you at cost, with no ZNAS license fee — at an estimated \$250–\$1,300 per month (~\$3,000–\$15,600 per year) at launch scale, alongside a one-time hardware cost of roughly \$2,900–\$6,300 for standard tablets, displays, scanners, and printers you own.

Even including those running costs, owning still beats renting: the off-the-shelf software stack this platform replaces costs around \$24,000 every year, indefinitely, and never becomes an asset. Here you pay to operate a system that is yours. The Engagement Proposal lays out the full first-year picture — the platform investment, hardware, running costs, and optional marketing — so the two documents line up completely.

Figures shown are 2026 estimates confirmed at the architecture phase; they carry no ZNAS markup.

Research sources & methodology

This estimate follows a standard three-lens IP valuation: replacement cost (what a rebuild costs), value in use (the cost of equivalent capability), and strategic / market value (what owning the asset does to enterprise value). All benchmarks are current-year 2026 figures from the sources below. Internal arithmetic was verified programmatically.

Replacement-cost benchmarks

Keyhole Software — 2026 custom software cost & timeline benchmarks: keyholesoftware.com/cost-custom-software-development

Clutch — software development pricing (avg \$132,480 / ~13 months): clutch.co/developers/pricing

ERP Software Blog — Warehouse Management System cost, 2026:
erpsoftwareblog.com/2026/02/warehouse-management-system-cost

Value-in-use / comparable software pricing (2026)

Cin7 — inventory management pricing: cin7.com/pricing

Fishbowl — inventory management pricing: fishbowlinventory.com/pricing

Gorgias — ecommerce help desk pricing: gorgias.com/pricing

Zendesk — support pricing comparison: zendesk.com/service/comparison/zendesk-vs-gorgias

Software Advice — order management system pricing: softwareadvice.com/scm/order-management-system-comparison

Strategic / market-value multiples (2026)

ClearlyAcquired — EBITDA multiples for SaaS & software, 2025–2026:

clearlyacquired.com/blog/ebitda-multiples-for-saas-and-software-companies-2025-2026

Aventis Advisors — SaaS valuation multiples: aventis-advisors.com/saas-valuation-multiples

CT Acquisitions — ecommerce M&A multiples & IP valuation, 2026: ctacquisitions.com/ecommerce-mergers-and-acquisitions

FE International — ecommerce M&A trends, 2026: feinternational.com/blog/ecommerce-ma-trends

A note on method. This is a good-faith estimate prepared to support an open, fair conversation — not a certified appraisal. We recommend you have your own advisor review it. We've valued the software by what it's worth as an asset to Fylo, using independent market data, so that the number is one we can both stand behind.

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